

Gap Down Into Support:

The Gap Down Into Support is a Setup that has a gap down due to a negative catalyst. In addition, if the stock is also trading into an important daily support level then we have our setup. Big players will often use the liquidity from this news gap to accumulate shares. As participants become aware of this accumulation, we will see a reversal of the gap down.

Best types of trades for this setup:

- Reversals

